

portfolios drop to \$600,000. Person B retires in 2009, and the 4 percent rule suggests she can withdraw an inflation-adjusted \$24,000. The paradox is that these seemingly similar individuals experience such different retirement outcomes. To resolve the paradox, I am suggesting we shift the focus away from the safe withdrawal rate and instead toward the savings rate that will safely provide for the desired retirement expenditures. Had both these individuals saved in accordance with the “safe savings rate,” they would both likely be able to withdraw the same desired amounts, even though they would be using different withdrawal rates.